

4 - Maximum Consecutive Losers

We all have a history of succeeding, failing, and even quitting in life. But how we face these failures is what defines us to move on to being a stronger person.

Whenever we face a failure (however small it may be) in life, we feel bad. It is because of our typical upbringing, and the same logic applies to trading as well.

We all feel bad even if we lose only Rs.1,000 in a trade. Because it is not only about the money, it is emotionally difficult to accept the failure.

Hence, if a trading system has many consecutive losing trades, we may not take future trades because we are afraid to face more failures due to psychological breakdown.

Fact #4 - A good trading system will have less than 12 consecutive losing trades. It might look like a significant number on paper, but don't forget that statistically, there is a possibility of 10 successive losers even for a 50% accuracy system.

Initially, my thoughts were not to provide the complete details about trading systems as generally our minds will not give due value if it gets something precious without putting in any effort. But at the same time, it is difficult to understand the parameters mentioned above while assessing a trading strategy.

Hence, I have opted for a balanced approach. For 5 day-trading systems, I have shared the complete back test results along with straightforward entry, SL, and exit rules. I have explained the remaining 5 day-trading concepts as raw trading concepts, and it is up to the readers to backtest the same and develop the trading rules for them.

Disclaimer – All these systems are backtested against 10 years of historical Banknifty data. I have taken utmost precautions with the data and coding of the trading strategies.